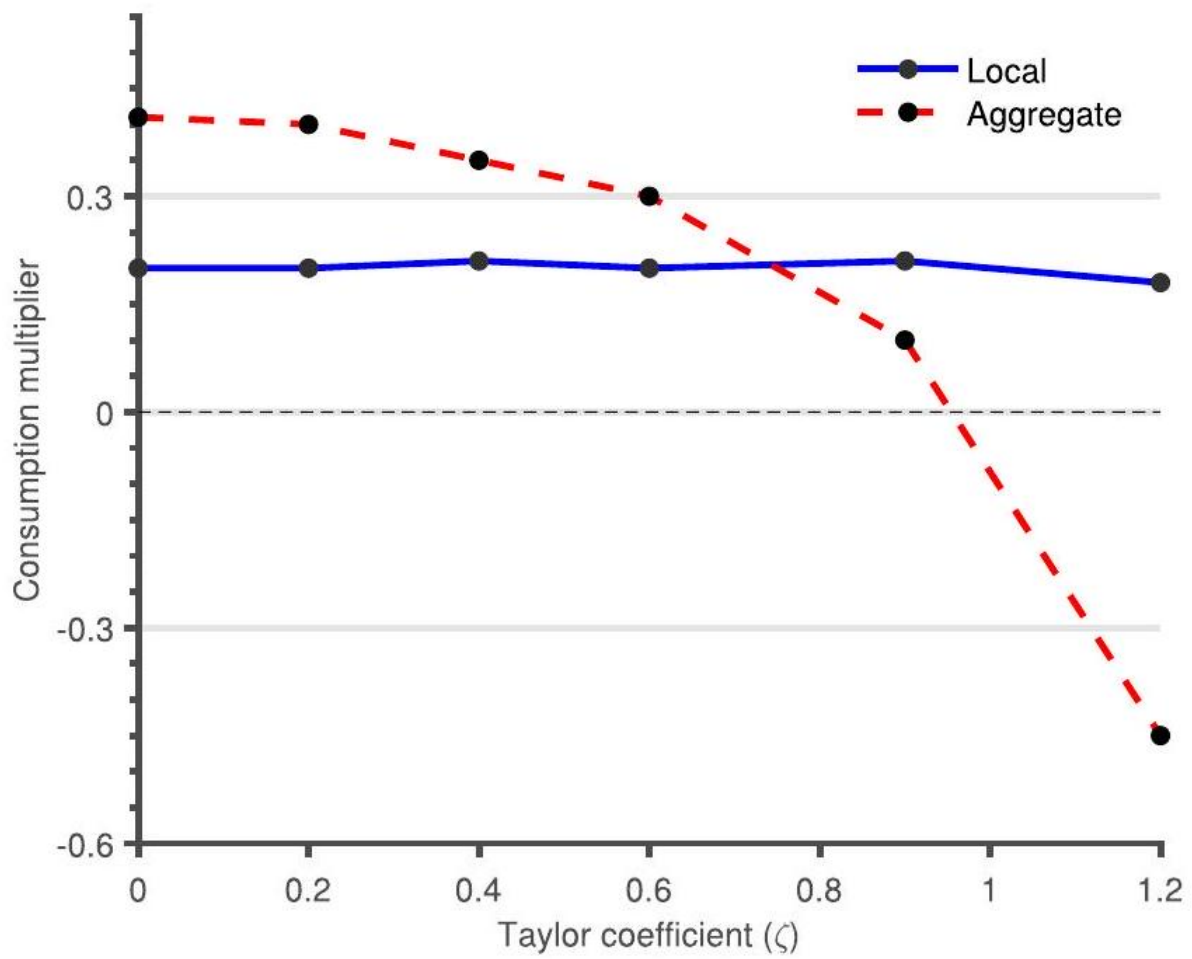




Consumption multipliers and monetary policy

Notes: The Taylor rule is given by $R_t = R_{ss} + \zeta \hat{\pi}_t$. In Benchmark, we have $\zeta = 0$. We vary parameter ζ and report the four-year local and aggregate consumption multiplier.